Chips Lead the Rebound

S&P 500 +1.16%, Nasdaq +2.07% as the chip cohort that led Friday's selloff led the recovery. VIX −4.18%. U.S. and Iran stand down and set talks for Doha; oil holds near pre-conflict levels.

THE SESSION

The market spent the weekend bracing for the worst and opened the week resolving the better case. After Friday closed a fifth straight losing session for the Nasdaq — a chip-led drawdown that pulled names like Credo, Keysight, Qualcomm and Analog Devices down sharply — a weekend strike-and-counterstrike sequence between the United States and Iran threatened to layer a fresh energy and security premium on top. Instead, both sides stood down, agreed to keep technical talks running, and set a meeting in Doha for tomorrow. Tehran is reportedly receiving $6 billion in frozen assets as part of the framework, and commercial transit through the Strait of Hormuz is being restored, though traffic remains below pre-conflict levels.

With the binary tail removed, capital moved straight back into the cohort it had just sold. The S&P 500 added 1.16% to 7,439.26 and the Nasdaq Composite climbed 2.07% to 25,820.14, with the Dow up 0.59% and the Russell 2000 essentially flat. The VIX fell 4.18% to 17.64 as the weekend hedges came off. The leadership was unambiguous: semiconductors and the equipment names that supply them led the tape, the same group that had absorbed the heaviest selling only two sessions earlier. Gold gave back 1.65% as the safe-haven bid unwound, and crude held near its pre-conflict range — soft enough to keep refiners working but with the escalation premium drained out.

This is the resolution the morning setup had framed as a test rather than a verdict, and it answered to the upside. We would note the texture beneath the index print: the bid concentrated in large-cap AI infrastructure and the picks-and-shovels equipment makers, while higher-beta crypto equities and the recent materials winners were sold to fund it. A one-day rotation is not a thesis. But it is a useful reminder that the cohorts we own for the long compounding arc do not require us to time the week — Friday's sellers and today's buyers were, in many cases, trading the same names around the same franchises.

FCI Tactical: The S&P 500 sits a few percent below its highs and well clear of our tranche-buy thresholds. No level interaction today. We stay fully invested and let the businesses do the work.

FCI HOLDINGS: NOTABLE MOVERS

WINNERS

LRCX +8.39% — DIVIDEND STRATEGY

Cantor Fitzgerald lifted its target to $500 from $425 with an Overweight rating, calling Lam the biggest share-gainer among chip-equipment makers in its coverage. The move built on Bank of America's recent $480 target and the broader, supply-constrained wafer-fab-equipment upcycle tied to AI memory and advanced packaging.

TSM +5.26% — GROWTH PORTFOLIO

The foundry anchor led the semi rebound as the sell-side stayed constructive into Q2 earnings — BofA at $590, Susquehanna at $575, and a fresh UBS target raise citing strong AI demand. Capacity-constraint and pricing headlines continue to underwrite the leading-edge order book.

MRVL +4.12% — GROWTH PORTFOLIO

The AI networking and custom-silicon name caught the cohort bid as hyperscaler interconnect demand stayed front of mind. Marvell screens as a core picks-and-shovels beneficiary of data-center buildouts independent of which accelerator wins.

CAT +3.58% — DIVIDEND STRATEGY

Increasingly traded as an AI-infrastructure power play, Caterpillar rode the industrials rally on continued data-center demand for its generators and turbines, a record order backlog near $63 billion, and an ongoing wave of analyst target increases.

AMD +3.43% — GROWTH PORTFOLIO

Rebounded with the AI-accelerator complex as the de-escalation removed the macro overhang that had pressured high-multiple chip names through last week's pullback.

VLO +2.68% — DIVIDEND STRATEGY

Refining margins held even as crude eased on the stand-down, leaving the crack spread intact. The refiner outperformed the integrated names as the security premium drained from the barrel.

ETHA +2.94% — DIGITAL ASSET ETF

The ether ETF firmed alongside a modest Bitcoin bid, with the spot-tracking vehicles outperforming the higher-beta mining equities on the day.

DECLINERS

STLD –4.59% DIVIDEND STRATEGY

Steel extended a profit-taking pullback after a strong multi-month run, with money rotating out of materials and into tech. A recent aluminum-relocation write-down and valuation concerns near prior highs remain the backdrop; the longer-term earnings revisions stay constructive.

HUT –3.86% GROWTH PORTFOLIO

The miner sold off even as Bitcoin and the spot ETFs firmed, as the day's bid concentrated in large-cap semis rather than higher-beta crypto equities. Dilution and AI-pivot dynamics continue to drive miner shares more than spot on a given session.

MARA –3.51% GROWTH PORTFOLIO

Same miner-specific pressure as the complex decoupled from a modestly higher spot tape, with risk appetite favoring the AI-infrastructure leaders.

AEM –2.21% GROWTH PORTFOLIO

The gold miner tracked bullion lower as the safe-haven bid unwound on the de-escalation, with gold off 1.65% on the session.

CHD –1.69% DIVIDEND STRATEGY

The consumer staple lagged a clear risk-on rotation as the defensive composition that worked Friday gave back ground.

CVX –1.51% GROWTH PORTFOLIO

Integrated energy softened as crude held near pre-conflict levels, in contrast to the refiner strength on the day.

HOLDINGS NEWS

Sell-side leadership underpinned the chip-cohort rebound. Cantor Fitzgerald raised its Lam Research (LRCX) target to $500 and reiterated Overweight, framing an early-stage, multi-year semiconductor-equipment upcycle and naming Lam the top share-gainer in its coverage. On the foundry side, UBS lifted its Taiwan Semiconductor (TSM) target ahead of second-quarter results on strong AI demand, adding to recent increases from BofA ($590) and Susquehanna ($575). The cluster of constructive revisions into the cohort's drawdown helped convert Friday's sellers into today's buyers.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.26%

vs. DVY –0.16% | SPY +1.59%

GROWTH PORTFOLIO ✗ TRAIL

+0.80%

vs. IUSG +2.09%

YEAR-TO-DATE

Dividend +15.61% vs DVY +13.62% / SPY +9.23%

Growth +20.47% vs IUSG +10.79%